

- 6406533516721. ✖ Press ad expenditure track
- 6406533516722. ✖ TV ad expenditure track
- 6406533516723. ✖ Radio ad expenditure track
- 6406533516724. ✖ Prescription audit

Question Number : 287 Question Id : 6406531041027 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The total spend on TV ads for each brand in a category?

Options :

- 6406533516725. ✖ Consumer panel
- 6406533516726. ✖ Indian Readership Study
- 6406533516727. ✖ TV Audience panel
- 6406533516728. ✖ Retail audit
- 6406533516729. ✖ Radio Audience Panel
- 6406533516730. ✖ Press ad expenditure track
- 6406533516731. ✔ TV ad expenditure track
- 6406533516732. ✖ Radio ad expenditure track
- 6406533516733. ✖ Prescription audit

Corporate Finance

Section Id :	64065375429
Section Number :	13
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	36
Number of Questions to be attempted :	36
Section Marks :	100
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653160256

Question Shuffling Allowed :

No

Question Number : 288 Question Id : 6406531041028 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406533516734. ✓ YES

6406533516735. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653160257

Question Shuffling Allowed :

Yes

Question Number : 289 Question Id : 6406531041029 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The put-call parity result for a non-dividend-paying stock states that the European put price plus the stock price must equal the European call price plus the present value of the strike price.

Options :

6406533516736. ✓ TRUE

6406533516737. ✗ FALSE

Question Number : 290 Question Id : 6406531041030 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The delta of an option is the ratio of the option price to the stock price.

Options :

6406533516738. ✗ TRUE

6406533516739. ✓ FALSE

Question Number : 291 Question Id : 6406531041031 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

In the Black-Scholes pricing formula, stock prices are considered to be log-normally distributed.

Options :

6406533516740. ✓ TRUE

6406533516741. ✗ FALSE

Question Number : 292 Question Id : 6406531041032 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

A put option is in-the-money when the stock price is higher than the strike price.

Options :

6406533516742. ✗ TRUE

6406533516743. ✓ FALSE

Question Number : 293 Question Id : 6406531041033 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Assets of a commercial bank include loans, deposits with other banks and the central bank, and various securities that the bank holds.

Options :

6406533516744. ✓ TRUE

6406533516745. ✗ FALSE

Question Number : 294 Question Id : 6406531041034 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The part of the minimum-variance frontier that lies below the global minimum-variance portfolio is called the efficient frontier

Options :

6406533516746. ✗ TRUE

6406533516747. ✓ FALSE

Question Number : 295 Question Id : 6406531041035 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

According to CAPM, projects with higher beta require a higher expected rate of return.

Options :

6406533516748. ✓ TRUE

6406533516749. ✗ FALSE

Question Number : 296 Question Id : 6406531041036 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

When assets have a perfect positive correlation, there are no benefits from diversification.

Options :

6406533516750. ✓ TRUE

6406533516751. ✗ FALSE

Question Number : 297 Question Id : 6406531041037 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

The yield curve shows the relation between expected return and standard deviation.

Options :

6406533516752. ✗ TRUE

6406533516753. ✓ FALSE

Question Number : 298 Question Id : 6406531041038 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

An investor cannot diversify the systematic risk.

Options :

6406533516754. ✓ TRUE

6406533516755. ✗ FALSE

Sub-Section Number :

3

Sub-Section Id :

640653160258

Question Shuffling Allowed :

Yes

Question Number : 299 Question Id : 6406531041039 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

You found an ancient clay pot in your home that was purchased by your father 25 years ago for Rs 1,000. You auction it and sell it for Rs 50,000. What is the annualized rate of return that is earned on the clay pot?

Options :

6406533516756. ✗ 8.52%

6406533516757. ✓ 16.94%

6406533516758. ✗ 20.00%

6406533516759. ✗ 32.14%

Question Number : 300 Question Id : 6406531041040 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The Tata Steel stock is trading at Rs 500 today. Tata Steel is expected to pay a dividend of Rs 20 per

share next year. If the growth rate of Tata Steel's dividend is 2% every year and the appropriate rate of return is 7% per year, then according to the Gordon growth model

Options :

6406533516760. ✖ The Tata Steel stock is underpriced, and an investor should buy Tata Steel shares.

6406533516761. ✖ The Tata Steel stock is overpriced, and an investor should buy Tata Steel shares.

6406533516762. ✖ The Tata Steel stock is underpriced, and an investor should sell Tata Steel shares.

6406533516763. ✔ The Tata Steel stock is overpriced, and an investor should sell Tata Steel shares.

Question Number : 301 Question Id : 6406531041041 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

There are two assets: a risk-free asset that offers a 7% rate of return and a risky asset that has an expected rate of return of 20% and a standard deviation of 10%. What is the slope of the Capital Allocation Line consisting of these two assets?

Options :

6406533516764. ✖ 2

6406533516765. ✔ 1.3

6406533516766. ✖ -1.3

6406533516767. ✖ -2

Question Number : 302 Question Id : 6406531041042 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

There are two risky assets that are negatively correlated with $\rho = -0.5$. Asset 1 has an expected return of 15% and a standard deviation of 10%. Asset 2 has an expected return of 20% and a standard deviation of 12%. What are the weights of the assets in the minimum variance portfolio?

Options :

6406533516768. ✖ $w_1 = 0.33, w_2 = 0.67$

6406533516769. ✖ $w_1 = 0.44, w_2 = 0.56$

6406533516770. ✔ $w_1 = 0.56, w_2 = 0.44$

6406533516771. ✖ $w_1 = 0.67, w_2 = 0.33$

Question Number : 303 Question Id : 6406531041043 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Sloka Inc. is considering two different projects, A and B, for investment and can choose at most one project to invest in. Project A costs Rs 10,000 and is expected to generate Rs 5,000 in year one and Rs 7,000 in year two. Project B costs Rs 12,000 and is expected to generate Rs 8,000 in year one, Rs 4,000 in year two, Rs 2,000 in year three, and Rs 1,000 in year four. Sloka Inc.'s required rate of return for these projects is 5%. Which of the following is true?

Options :

6406533516772. ✓ Sloka Inc. should prefer Project B as it has a higher net present value than Project A.

6406533516773. ✗ Sloka Inc. should prefer Project A as it has a higher net present value than Project B.

6406533516774. ✗ Sloka Inc. is indifferent between Project A and Project B as both have the same net present value.

6406533516775. ✗ Sloka Inc. should not invest in either projects A or B as both have negative net present value.

Question Number : 304 Question Id : 6406531041044 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A US Dollar buys 80 Russian Rubles. The GDP deflator in Russia is 110, while the GDP deflator in the US is 105. What is the real USD to RUB exchange rate? [Note: Exchange rate is defined with the US as a home country and Russia as a foreign country]

Options :

6406533516776. ✗ 83.81

6406533516777. ✓ 76.36

6406533516778. ✗ 95.45

6406533516779. ✗ 104.76

Question Number : 305 Question Id : 6406531041045 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The prevailing interest rate in India is 8%, and the prevailing interest rate in the UK is 4%. What is the expected rate of appreciation of INR to GBP exchange rate?

Options :

6406533516780. ✓ -3.70%

6406533516781. ✗ -1.84%

6406533516782. ✗ 3.84%

6406533516783. ✗ 1.62%

Question Number : 306 Question Id : 6406531041046 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A trader invests in XYZ Inc. by buying 100 shares in June for Rs 50 per share. She also buys 100 European put options for Rs 5 each as insurance in case the stock drops sharply. The put options have a strike price of Rs 52 and a maturity date of December. What is the gain or loss if the spot price on the maturity date is Rs 55?

Options :

6406533516784. ✓ Rs 0, no gain, no loss

6406533516785. ✗ Rs 500 gain

6406533516786. ✗ Rs 500 loss

6406533516787. ✗ Rs 1000 gain

Question Number : 307 Question Id : 6406531041047 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Which of the following describes a long position in an option?

Options :

6406533516788. ✗ A position where there is more than one year to maturity.

6406533516789. ✗ A position where there is more than ten years to maturity.

6406533516790. ✗ A position where an option has been sold.

6406533516791. ✓ A position where an option has been purchased.

Question Number : 308 Question Id : 6406531041048 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Consider a put option and a call option with the same strike price and time to maturity. Which of the following is FALSE?

Options :

6406533516792. ✗ If the put option is in the money, the call option will be out of the money.

6406533516793. ✗ If the call option is in the money, the put option will be out of the money.

6406533516794. ✓ If the call option is at the money, the put option will be out of the money.

6406533516795. ✗ If the put option is at the money, the call option will also be at the money.

Question Number : 309 Question Id : 6406531041049 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The price of a stock is Rs 54. A trader buys a call option on the stock with a strike price of Rs 58 when the option price is Rs 5. When does the trader make a profit?

Options :

6406533516796. ✗ When the stock price is above Rs 60

6406533516797. ✓ When the stock price is above Rs 63

6406533516798. ✖ When the stock price is below Rs 52

6406533516799. ✖ When the stock price is above Rs 54

Question Number : 310 Question Id : 6406531041050 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

When the stock price increases with all else remaining the same, which of the following is true?

Options :

6406533516800. ✖ Both call and puts increase in value.

6406533516801. ✖ Both calls and puts decrease in value.

6406533516802. ✔ Calls increase in value while puts decrease in value

6406533516803. ✖ Puts increase in value while calls decrease in value

Question Number : 311 Question Id : 6406531041051 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

When interest rates increase with all else remaining the same, which of the following is true?

Options :

6406533516804. ✖ Both call and put increase in value

6406533516805. ✖ Both calls and puts decrease in value.

6406533516806. ✔ Calls increase in value while puts decrease in value

6406533516807. ✖ Puts increase in value while calls decrease in value

Question Number : 312 Question Id : 6406531041052 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Which of the following describes a covered call?

Options :

6406533516808. ✖ Buy a call option on a stock plus a long position in the stock.

6406533516809. ✖ Buy a call option on a stock plus a short put option on the stock.

6406533516810. ✖ Sell a call option on a stock plus a short position in the stock.

6406533516811. ✔ Sell a call option on a stock plus a long position in the stock.

Question Number : 313 Question Id : 6406531041053 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

You purchase a one-year call option with a strike price of Rs 50 and two one-year put options with a strike price of Rs 50. The call premium is Rs 4, and the put premium is Rs 2. The current share price is Rs 45. If one year later, the share price increases to Rs 60

Options :

6406533516812. ✖ You make a profit of Rs 12.
6406533516813. ✖ You make a profit of Rs 10.
6406533516814. ✔ You make a profit of Rs 2.
6406533516815. ✖ You incur a loss of Rs 2.

Question Number : 314 Question Id : 6406531041054 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

The price of a three-month European call option on a non-dividend-paying stock with a strike price of Rs 80 is Rs 8. The stock price is Rs 85, and the annual risk-free rate is 8% (continuously compounded). What is the price of a three-month European put option on the stock with a strike price of Rs 80?

Options :

6406533516816. ✖ Rs 10.65
6406533516817. ✖ Rs 7.21
6406533516818. ✖ Rs 4.87
6406533516819. ✔ Rs 1.42

Question Number : 315 Question Id : 6406531041055 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

A stock is trading at Rs 50 today. In 3 months, the stock price can either increase to Rs 60 or decrease to Rs 40. The three-month risk-free rate is 4%. A three-month call option has an exercise price of Rs 55. What is the risk-neutral probability that stock price increases?

Options :

6406533516820. ✖ 40.0%
6406533516821. ✖ 50.0%
6406533516822. ✖ 53.3%
6406533516823. ✔ 60.0%

Question Number : 316 Question Id : 6406531041056 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

In the Black-Scholes pricing formula for a call option, $N(d_1) = 0.5$ and $N(d_2) = 0.4$.

If the stock price increases by Rs 1, then what will be the change in the price of the option?

Options :

6406533516824. ✖ The call option price increases by Rs 1.
6406533516825. ✔ The call option price increases by Rs 0.5.
6406533516826. ✖ The call option price increases by Rs 0.4.

6406533516827. ✖ The call option price decreases by Rs 0.6

Question Number : 317 Question Id : 6406531041057 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

You invest 80% of your money in a security with a beta of 1.45 and the rest of your money in risk-free security. The beta of your portfolio is

Options :

6406533516828. ✖ 0.80

6406533516829. ✔ 1.16

6406533516830. ✖ 1.46

6406533516831. ✖ 1.81

Question Number : 318 Question Id : 6406531041058 Question Type : MCQ

Correct Marks : 3

Question Label : Multiple Choice Question

Your opinion is that Cipla stock has an expected rate of return of 16%. Cipla has a beta of 1.5. The risk-free rate of return is 5%, and the expected market rate of return is 12%. According to the capital asset pricing model, Cipla is

Options :

6406533516832. ✖ Overpriced

6406533516833. ✔ Underpriced

6406533516834. ✖ Fairly priced

6406533516835. ✖ Insufficient information

Sub-Section Number :

4

Sub-Section Id :

640653160259

Question Shuffling Allowed :

Yes

Question Number : 319 Question Id : 6406531041059 Question Type : SA

Correct Marks : 4

Question Label : Short Answer Question

The current price of a non-dividend-paying stock is Rs 50. Over the next six months, it is expected to rise to Rs 65 or fall to Rs 45. Assume the risk-free rate is zero. A six-month call option with a strike price of Rs 55 is trading at Rs 5. How many options are required to hedge the purchase of 2 shares of the stock?

Note:The answer is a single digit integer between 0-9.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

4

Question Number : 320 Question Id : 6406531041060 Question Type : SA

Correct Marks : 4

Question Label : Short Answer Question

A risky asset has a 12% expected rate of return and a 20% standard deviation of the rate of return. If the Sharpe ratio of this risky asset is 0.8, then what is the prevailing risk-free rate of return (in %)?

Note:The answer is a single digit integer between 0-9.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

4

Question Number : 321 Question Id : 6406531041061 Question Type : SA

Correct Marks : 4

Question Label : Short Answer Question

You purchase a one-year call option with a strike price of Rs 40 and a one-year put option with a strike price of Rs 40. The call premium is Rs 4, and the put premium is Rs 3. The current share price is Rs 38. If one year later, the share price increases to Rs 50, then how much profit do you earn (in Rs)?

Note:The answer is a single digit integer between 0-9.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

3

Question Number : 322 Question Id : 6406531041062 Question Type : SA

Correct Marks : 4

Question Label : Short Answer Question

Suppose the risk-free rate is 2% and the expected market return is 7%. If the value of the beta of security A is 1.2 according to CAPM, what is the expected rate of return (in percentage terms) on